

Islamist party has narrow but growing path to power

送信者: EG Southeast Asia 受信日時: 2026-08-03 16:42

【メール原文】

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Practice Letter

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Dear clients,

Although Malaysia's next general election is probably more than a year away, it already dominates the political scene. The vote must take place by February 2028 and will most likely occur in November 2027 (see: Elections likely next year despite talk of earlier vote , 31 March 2026). However, rumors of snap polls later this year continue to surface.

Early signs point to another hung parliament. Our base case remains that Prime Minister Anwar Ibrahim will retain power at the head of a government led by his Pakatan Harapan (PH) coalition. Eurasia Group will publish the full odds in a future note.

However, infighting within the coalitions and multi-cornered contests give the ultraconservative Parti Islam Se-Malaysia (PAS), currently the largest party in parliament and leader of the opposition, a 20% chance of taking power within the next 18 months—most likely after the elections, but possible before.

Conditions favoring PAS

Broadly, PAS has benefited from growing Islamist conservatism and Malay identity politics, driven by decades of increasing religiosity and persistent interethnic income inequality. The party has vociferously advocated for pro-Malay-Muslim causes and affirmative action policies, while largely avoiding corruption scandals. Together, these factors have allowed PAS to present itself as the strongest defender of Malay-Muslim interests and a "cleaner" alternative to PH and the Barisan Nasional (BN) coalition, PH's governing partner and on-off rival.

At the same time, PAS is trying to soften its Islamist image to broaden its appeal. The party has promoted more technocratic and moderate leaders, including Vice President Ahmad Samsuri Mokhtar, who has become its public face and likely candidate for prime minister. A recent poll showed that Samsuri had a higher approval rating than Anwar among ethnic Malay respondents.

Meanwhile, the two biggest forces in Malaysian politics are struggling in ways that favor PAS. PH is burdened by perceptions that it is too liberal and faces a growing list of corruption allegations. BN remains tainted by decades of corruption scandals, and a new one linked to a state-run pilgrims' fund is emerging. The coalition has also seen its conservative credentials questioned because of its alliance with PH.

Prospects for a PAS-led government

A PAS-led government after the general election remains unlikely, but the prospect now appears more plausible. PAS enjoys strong support among Malay-Muslim voters, giving the party an advantage in the 53% of constituencies where Malay-Muslims form a majority. PAS holds 43 of 222 seats in parliament and exerts strong influence over 19 members of parliament who shifted from former ally Bersatu to the new Wawasan party. PAS also controls three of Malaysia's 13 state governments.

Nevertheless, PAS will struggle to win over BN's loyal core of Malay-Muslim supporters. The party also has limited appeal among urban, progressive, and non-Muslim voters, and it has gained minimal traction in East Malaysia. In November, however, PAS won its first elected state assembly seat in Sabah, where relatively moderate local parties dominate.

PAS will therefore need coalition partners to broaden its reach and secure enough support to form a government.

Factors that would improve PAS's chances

The most likely path to power for PAS is a formal electoral partnership with BN. United Malays National Organisation (UMNO), a relatively moderate Malay-Muslim-based party, leads BN, which also includes parties that represent the Chinese and Indian communities. PAS is highly unlikely to work with Anwar before or after the elections, given its strong differences with him and PH parties.

PAS therefore wants to persuade BN to form a formal coalition, agree early on seat allocations, and adopt a joint platform. That approach would avoid vote splitting and improve both parties' chances of victory, particularly in majority Malay-Muslim constituencies.

A key watchpoint is whether cooperation between PAS and BN deepens in upcoming state polls and beyond. The two sides informally agreed not to compete directly in Negeri Sembilan on 1 August, which helped them win more seats than PH. Another factor is BN's own momentum and ambitions. The coalition has seen a modest rebound in support and won nearly all seats in the Johor state assembly elections on 11 July.

Obstacles to PAS taking power

If BN completely refuses to cooperate with PAS in federal elections, the Islamist party will have no practical path to power. Buoyed by victories in state elections, BN could choose to contest the general election alone or partner with PH. Anwar could also use "lawfare" to push BN in the latter direction. If PAS suffers further losses in state elections, its ability to woo BN will weaken. Strong economic growth, higher approval ratings for Anwar, and successful delivery of reforms would also reduce PAS's momentum.

PAS could strike a limited deal with BN to reduce vote splitting without guaranteeing post-election cooperation. Such an arrangement would fall well short of a full pact with BN. However, if PAS wins enough seats, it could still hold significant leverage.

Parties in Borneo will be another key constraint. Their leaders prefer to partner with moderate parties and would likely demand guarantees on oil and gas development rights, state-level authority, infrastructure spending, and religious freedom—terms that PAS may be unwilling to accept.

The monarchy could also block such an outcome. The king has the final say in determining who has majority support among members of parliament, and that role will be crucial if rival camps claim the premiership. Notably, BN has built much closer ties than other parties to the monarch.

The economic policy outlook under a PAS-led government

PAS advocates populist, welfare-oriented policies that would increase fiscal risks. The party strongly opposes restoring the goods and services tax (GST). Since the GST was effectively removed in 2018, the government has lost up to 20 billion ringgit (\$4.9 billion) in annual revenue. PAS has also opposed cuts to fuel subsidies while backing more cash handouts and higher public-sector wages. In addition, the party has called for larger oil and gas royalty transfers and greater state production rights. Earlier official figures indicate that states receive about \$1.2 billion in annual royalties, while the federal government controls offshore reserves.

That said, BN's relatively prudent fiscal policy stance, along with Malaysia's fiscal rules, market pressure, and the need to preserve investor confidence, would somewhat limit the spending of a PAS-led government.

Investment implications

PAS would likely pursue more socially conservative policies, tighter moral regulation, and more identity-based governance, all of which would weaken Malaysia's FDI appeal. More broadly, some investors will probably be uncomfortable with an Islamist-led government. Even so, PAS would likely remain generally supportive of FDI, which limits the overall risk, and the party is expected to avoid disrupting existing investments because it needs to preserve jobs and growth.

BN would help curb PAS's Islamist agenda, given BN's more pragmatic record and experience in attracting foreign investors. Malaysia's established investment institutions, industrial clusters, and role in global supply chains would also reduce the likelihood of abrupt policy shifts.

Foreign policy implications

PAS would probably maintain the broad direction of Malaysia's non-aligned foreign policy, balancing economic ties with the US and other Western countries against relations with China. Economic incentives and BN's moderating influence would also help prevent a serious rupture with the US, the EU, and other Western-aligned partners. That said, a PAS-led government would likely adopt a more overtly Islamist and anti-US tone. PAS leaders have recently voiced support for Iran and Hamas, and the party previously backed the Taliban.

Meanwhile, PAS surely recognizes Beijing's importance as Malaysia's largest trading partner and a major source of investment. The party welcomed a 665-kilometer Belt and Road rail project worth about 50.3 billion ringgit (\$12.3 billion) that will pass through two PAS-ruled states, underscoring its incentive to maintain strong ties with Beijing.

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